

The Barbell Is the Business Now

9 July 2026 · Audience: FMCG manufacturer leadership

teams · Horizon: 5 to 10 years

Read estimate: 3 min Executive Synthesis · 20 min full read



What you will learn

1. Why the K-shaped split of FMCG demand is now the settled operating reality of 2026, not a passing pandemic-era phase.
2. Why the lower arm of the K is three different stories in the US, Europe and emerging markets, each needing its own answer.
3. What portfolio, pricing and pack architecture the winning manufacturers will need in each region over the next five to ten years.

Key takeaways

1. L'Oreal Luxe grew 5.6% in Q1 2026 on innovation, not heritage; efficacy now outranks legacy for 85% of prestige buyers.
2. Private label hit a record 50% of grocery units across Europe's six biggest markets in April 2026, and 23.8% of US units.
3. US SNAP rolls fell more than four million people (10%) to March 2026, enlarging the value tier by policy, not just by choice.

Executive Synthesis

Which of your brands this week are priced for a middle that has already emptied out?

The evidence in this report says the middle of the shelf is now the most exposed place to stand.

Why this matters now

What makes this the moment is not that premium and value are both growing, which is by now familiar, but that each arm of the K has acquired its own engine in 2026 and the lower arm has split into three regional stories with different causes. A response built for one of them fits none of the others.

Five forces have hardened the barbell into the operating reality of 2026, and each one is on the leadership agenda this cycle:

- **Premium has switched engines, from heritage to efficacy.** L'Oreal Luxe grew on its innovation pipeline rather than its name, and most prestige buyers now rank [proof of performance above legacy](#).
- **The mid-price middle has emptied.** With the top fifth of US households driving close to sixty per cent of spending, the mainstream tier is [drained from above and below](#) at once.
- **US policy is enlarging the value tier, not just the cycle.** Welfare cuts and tariffs are pushing once-steady households toward the cheapest tier, a [policy-enlarged cohort](#) rather than a temporary trade-down.
- **Europe's own-label reset looks permanent.** Private label has [crossed half of grocery units](#) across the six biggest markets and is holding as incomes stabilise.
- **Emerging-market growth is first-time entry, not distress.** Rural buyers are entering branded goods through sachet-scale packs and taking a [rising share of premium volume](#).

The K-shaped split of consumer demand has stopped being a description of the pandemic recovery and become the settled structure of fast-moving consumer goods in 2026. Premium and value are both growing; the mainstream middle is being drained from both directions at once. In the United States the top 20% of households now account for close to 60% of all consumer spending, and for consumer goods companies the practical conclusion is blunt: the middle has evaporated ([CPG Matters, on Moody's Analytics](#), March 2026). McKinsey's mid-year read describes the same divergence in behaviour, in which premium high-value demand outgrows the mainstream even as value-seeking scrutiny rises across the board ([McKinsey State of the Consumer 2026](#), June 2026), and Bain finds an identical value-barbell forming in China ([Bain China Shopper Report 2026](#), June 2026). This is not a temporary reaction to inflation that will unwind as prices settle. It is where the market now lives.

The insight leadership teams most often miss is that these are not four separate problems but one shape with four faces. The reflex of the last two decades, to defend and grow the mainstream brand at the centre of the range, is now the single most expensive mistake available, because the centre is where demand is thinnest and competition from premium above and own-label below is fiercest.

The middle is not slow, it is empty, and the manufacturers who will win the next decade are already building for both ends of the shelf.

The middle is not slow, it is empty, and the manufacturers who will win the next decade are already building for both ends of the shelf. That means a portfolio designed as a ladder with strong rungs at top and bottom, priced and packed differently in each region, rather than a bell curve centred on a disappearing shopper. Procter and Gamble already runs a deliberately vertical portfolio across brand tiers and price points ([Procter and Gamble Q3 FY26 call](#), April 2026), and Unilever is delisting tail brands to concentrate on its Power Brands ([Unilever first-quarter trading statement](#), April 2026). The question is not whether the K is real, but whether your range, prices and pack sizes are built for it in each of the three regions where it looks different.

Where this analysis could be wrong

The load-bearing assumption is that the hollow middle is permanent rather than cyclical. If real incomes recover strongly and quickly, some traded-down demand could return to mainstream brands, and the barbell could soften back toward a bell. The claim would be forced into revision by two consecutive quarters of mid-tier national brands regaining unit share across both the US and Europe's six largest markets, or by private label losing unit share as national brands cut prices. So far the opposite holds: US national brands raised dollars 2.2% by cutting prices without reversing the private-label unit-share gain ([BakeryandSnacks, on Circana and PLMA](#), July 2026), and Europe's own-label share kept climbing through a period of stabilising incomes.

The decisions that cannot be deferred this cycle

1. **Rebuild the price-pack ladder to span both ends.** A range centred on the mainstream is priced for the emptiest part of the shelf; the top and bottom rungs are where demand and margin now sit.
2. **Write a separate value-tier playbook for each region.** The US value tier is policy-driven, Europe's is a permanent quality reset, and the emerging-market lower arm is first-time entry; one global answer fits none of them.
3. **Make efficacy and format the premium claim, and retire heritage-only lines.** Premium that cannot prove a benefit is the most exposed position of all, and dupe culture is already punishing it.

Audience Snapshots

Four functional lenses on the same intelligence base. Each card names the shift and the single question this cycle puts to that function's leadership.

STRATEGY & GROWTH

Is our range still sized around a mainstream shopper when demand has moved to both ends of the barbell?

The shift: demand and margin have moved to the two ends of the price ladder while the mid-tier is [drained from above and below](#) at once.

The question to brief: should we adopt a barbell portfolio that scores every mid-tier brand to migrate up, migrate down or retire before the next annual plan?

BRAND, MARKETING & INNOVATION

Does our premium still charge for heritage the shopper has stopped paying for?

The shift: premium now grows on demonstrable efficacy and format, with prestige buyers [ranking proof of performance above legacy](#).

The question to brief: should we re-anchor every premium claim on efficacy and retire heritage-only lines before dupe culture reprices them for us?

SUPPLY CHAIN & OPERATIONS

Can our network make money at premium formats and single-coin sachet packs in the same build?

The shift: the winning positions carry either a real premium [cost-to-serve](#) or sachet-scale entry economics, and both differ from the mainstream cost base.

The question to brief: should we add a cost-to-serve and pack-economics gate to every launch so premium margins and sachet unit costs both hold?

FINANCE & REVENUE MANAGEMENT

Are we still funding growth with price and promotion after both stopped buying volume?

The shift: pricing is moderating and promotions in Western Europe [no longer add the incremental volume they once did](#).

The question to brief: should we shift the plan from price and promotion toward base-value repair and disciplined premiumisation now?

Themes

The cycle's signals are organised into six themes, ranked by impact on FMCG manufacturers' near-term decisions. **Immediate:** changes the next annual operating plan, the portfolio or the proposition. **Near-Term:** changes competitive position over the next twelve months. **Longer-Range:** a multi-year factor to track and revisit each cycle.

1. Premium grows on efficacy and format, not heritage

IMMEDIATE

Premium is the growing top arm of the K, but the engine has changed under the manufacturers who own it: shoppers are paying up for demonstrable performance and format, and no longer for a name alone. That forces an immediate re-examination of every premium proposition that still rests on heritage, because the shopper who once bought the story is now buying the proof. The brands most exposed this cycle are not the value ones; they are premium brands whose price is defended by legacy rather than by a benefit a shopper can feel.

- **L'Oreal Luxe grew 5.6% in the first quarter of 2026 and outperformed the selective market in every region on the strength of innovation, not legacy.** The company attributes the result to portfolio breadth and an aggressive innovation pipeline ([L'Oreal first-quarter 2026 sales](#), April 2026), a reading its French-language disclosure repeats verbatim ([L'Oreal first-quarter release \(French\)](#), April 2026).
- **US prestige beauty added 6% to reach \$8.1 billion in the first quarter, with growth led by higher-value formats and minis rather than named houses.** Mass rose 7% to \$18.1 billion over the same period, so both ends grew while the growth was value-driven ([Circana US beauty read](#), May 2026).
- **Efficacy has displaced heritage as the basis of a premium claim.** In a survey of prestige buyers, 85% ranked quality and efficacy above price, reviews or heritage, and loyalty has shifted from legacy to proof ([Kearney Prestige Beauty Consumer Index](#), February 2026); NielsenIQ reads the same market as one where premium wins on efficacy and experience while accessible brands compete on performance-led value ([NielsenIQ Beauty in 2026](#), April 2026).

Counter-argument

The most credible challenge is that the same efficacy logic is running down-market fast enough to erode the premium price gap the thesis relies on. Mass and prestige beauty grew at nearly the same rate for the first time in five years ([BeautyMatter on Circana](#), May 2026), and in UK skincare mass grew 21% against 7% for premium, a reversal of the prior year, as accessible brands adopted the same science-backed actives ([Cosmetics Business, on Kantar](#), March 2026). This does not overturn the theme; it sharpens it. Premium still wins where efficacy is real and hard to copy, but efficacy that democratises turns yesterday's premium into today's mainstream, which is exactly why heritage-without-proof is the exposed position.

Decision link: Strategic Implications 3 and 1.

2. The middle is being vacated from both ends

IMMEDIATE

The mid-priced mainstream brand, the asset most FMCG portfolios are still built around, is being squeezed from above and below at the same time. Premium is pulling spend up on efficacy while value is pulling volume down to private label, and the space between them is thinning. This forces the hardest portfolio decision of the cycle: which mid-tier brands to move up, which to move down to fight for the value shopper, and which to retire, before the middle stops paying for the shelf space it occupies.

- **The top 20% of US households now account for nearly 60% of all consumer spending, and for consumer goods the middle has evaporated.** Winning demands a double-ended barbell that serves both the confident top and the budget-constrained bottom rather than the mid-market ([CPG Matters](#), on [Moody's Analytics](#), March 2026).
- **The polarisation is a global pattern, not a US quirk.** McKinsey's mid-year read documents a divergence in behaviour in which premium high-value demand outgrows the mainstream even as value scrutiny rises ([McKinsey State of the Consumer 2026](#), June 2026), and Bain finds the same value-barbell in China, where domestic and retailer brands capture much of the demand ([Bain China Shopper Report 2026](#), June 2026). A Canadian read describes a market that increasingly resembles a K, with value and premium holding up while the middle faces mounting pressure ([Retail Insider second-quarter read](#), July 2026).
- **Manufacturers are already restructuring their ranges to match the shape.** Procter and Gamble told investors it runs a very well-developed vertical portfolio across both brand tiers and price points, giving the shopper a deliberate choice between premium innovation and a lower-priced option rather than a single mid-point ([Procter and Gamble Q3 FY26 call](#), April 2026).

Counter-argument

The reading could be overstated if the middle is merely quiet rather than genuinely hollow. Plenty of mainstream demand persists in habitual, low-involvement categories where shoppers neither trade up nor down, and a manufacturer that abandons the middle too aggressively could cede a still-sizeable and profitable base to a more patient competitor. The durability test is real: the risk this cycle is over-abandonment, not the middle disappearing. But the direction of travel is one-way so far, and no major market has shown the mid-tier regaining share, so the safer error is to build the two ends first and hold the middle deliberately rather than by default.

Decision link: Strategic Implications [1](#) and [4](#).

3. The US value tier is expanding by policy, not just trading down

IMMEDIATE

The lower arm of the K in the United States is not only the familiar cyclical trade-down that reverses when confidence returns. Policy is enlarging the value tier and adding households to it who were previously stable, which means the value shopper is a growing cohort rather than a temporary visitor. For manufacturers, that turns the US value tier from a defensive holding position into a segment to be designed for deliberately, because the people entering it in 2026 may not leave when the cycle turns.

- **Federal food support was cut sharply, pushing lower-income households toward the cheapest tier.** Between the 2025 reconciliation law's enactment and March 2026, SNAP participation fell by more than four million people, about 10%, dropping in every state ([Center on Budget and Policy Priorities](#), June 2026).
- **Tariffs act as a regressive tax that erodes the budgets of the households most likely to enter the value tier.** Their income burden falls about three times as hard on the poorest tenth of households as the richest, at 1.1% versus 0.4% ([The Budget Lab at Yale](#), April 2026), while grocery prices are forecast to rise 2.8% in 2026 ([USDA Economic Research Service Food Price Outlook](#), June 2026) and could reach 4% to 4.5% by year-end on tariff pass-through ([FoodNavigator](#), May 2026).
- **Private label has settled at a record share of US grocery volume.** Store brands reached 23.8% of units in the first half of 2026, and national brands raised dollars 2.2% mainly by cutting prices, without reversing the unit-share shift ([BakeryandSnacks](#), on [Circana](#) and [PLMA](#), July 2026); the category is now a \$330 billion business at a 24% unit share ([Circana US private-label research](#), March 2026).

Counter-argument

The strongest objection is that US headline growth remains resilient, projected at 2.3% for 2026 ([IMF World Economic Outlook, April 2026](#), April 2026), so the value-tier expansion is a distributional story inside an aggregate that looks healthy and could reverse if policy changes. Tariffs could be rolled back and food support partially restored, and confident upper-income demand keeps the top arm growing. This is a fair test of durability rather than a refutation: the value tier will expand for as long as the policy settings hold, and both are set on multi-year paths, so the prudent planning assumption is that the enlarged US value cohort persists well beyond a single cycle.

Decision link: Strategic Implications [2](#) and [4](#).

4. Europe's own-label quality perception has reset for good

IMMEDIATE

Europe's value arm reflects a durable change in how shoppers judge own-label quality, not a temporary reaction to tight budgets. Private label has crossed half of grocery units in the biggest markets and is holding there as incomes recover, because consumers who traded down between 2021 and 2023 have concluded that own-label is good enough and are not coming back. For branded manufacturers this is the most consequential European shift in a generation, because it resets the ceiling on how much of the basket a national brand can expect to hold.

Private label share of grocery by European market, 2025 to 2026

PRIVATE LABEL SHARE OF GROCERY, EUROPE



Bars scaled 0 to 60 percent. Six-market unit share highlighted.

Sources: six-market unit share and Spain and Netherlands ([Circana private label in Europe](#), April 2026); Germany ([Lebensmittelpraxis, on YouGov](#), June 2026); France volume share ([LSA Conso, on NielsenIQ](#), March 2026).

- **Private label reached a record 50% of grocery units across Europe's six biggest markets in early 2026, led by Spain at 59% and the Netherlands at 56%.** The share has risen every year since 2021 ([Circana private label in Europe](#), April 2026).
- **The shift is about perceived quality, not price, and it is holding as budgets ease.** Own-label share and its perceived quality have driven retailer market-share gains more than price for six years, with private label reaching 40% of EU-11 value on a move to higher quality ([ESM, on McKinsey State of Grocery Retail Europe 2026](#), April 2026); French household purchasing power stabilised in the first quarter even as own-label kept gaining ([INSEE first-quarter national accounts](#), May 2026).
- **Shoppers now treat own-label as a legitimate choice rather than a compromise.** Retailers invested in own-label quality, innovation and premium ranges long before the cost-of-living squeeze, and consumers increasingly question whether brands justify their premium ([DairyReporter, on Circana](#), June 2026); in Germany retailer own brands reached a record 47%, up from 41% in 2021 ([Lebensmittelpraxis, on YouGov](#), June 2026).

Weak signal to track

EARLY INDICATOR.

The youngest French shoppers are the first cohort to drift back: NielsenIQ data show under-35 own-label purchasing softening while their national-brand buying edged up ([LSA Conso, on NielsenIQ](#), March 2026). **What would give it weight:** two further quarters of under-35 own-label share declining across more than one major market would suggest the reset is a one-generation event tied to the households that lived through the inflation, not a permanent ceiling.

Counter-argument

The challenge is that the reset could prove generational rather than permanent, softening as a cohort that never experienced the 2021 to 2023 squeeze reaches spending age and rediscovers brands. The early under-35 drift in France is the disconfirming signal to watch. On balance, though, the reset is anchored by a decade of retailer investment in own-label quality and by durable retailer economics that favour private label, so even a partial generational reversion would leave the European brand ceiling markedly lower than it was before 2021.

Decision link: Strategic Implications [2](#) and [3](#).

5. Emerging-market entry is sachet-led, and it is not distress

NEAR-TERM

In emerging markets, led by India, the lower arm of the K is the opposite of decline: it is millions of rural and semi-urban shoppers entering formal, branded goods for the first time, mostly through low-unit-price sachet and small-pack formats. Reading this cohort as distress trading-down is the error that loses the fastest-growing volume of the decade. The near-term task is to make sachet-scale entry economic and to build the second and third purchase, because this is premiumisation from below rather than a retreat.

- **Rural India is premiumising from below through small packs, not retreating.** Rural buyers now supply 42% of super-premium volume, up from 30% in 2021, and premium brands account for 15% of FMCG volume, with small affordable packs driving trial without diluting the premium experience ([Worldpanel by Kantar, via MediaBrief](#), September 2025).
- **Rural demand is out-growing urban and the sector's largest player is in a broad recovery.** Dabur reports rural continuing to outperform urban centres ([Business Standard, on Dabur](#), July 2026), and Hindustan Unilever posted its strongest quarter in three years, with 8%

revenue growth on 6% underlying volume growth ([Hindustan Unilever Q4 FY26 call](#), May 2026).

- **Front-line management frames rural India as the frontier of first-time consumption, not a defensive market.** Nestle India told shareholders that growth will come from deeper household penetration and wider distribution, describing India as dozens of markets layered by income, geography and aspiration ([Business Standard, on Nestle India](#), July 2026).

Counter-argument

The credible challenge is that first-time trial does not always become a habit, and a slower macro could strand it. NielsenIQ still reads the Indian rural-urban split partly through affordability stress and demand polarisation ([NielsenIQ India FMCG Quarterly Snapshot](#), May 2026), and the IMF expects the 2026 slowdown to fall hardest on emerging economies, with global growth easing to 3.1% ([IMF World Economic Outlook, April 2026](#), April 2026). That is the durability test rather than a rebuttal: the entry thesis holds only if first purchases convert to repeat before the macro tightens, which makes repeat-rate the single metric that decides whether this arm is entry or distress.

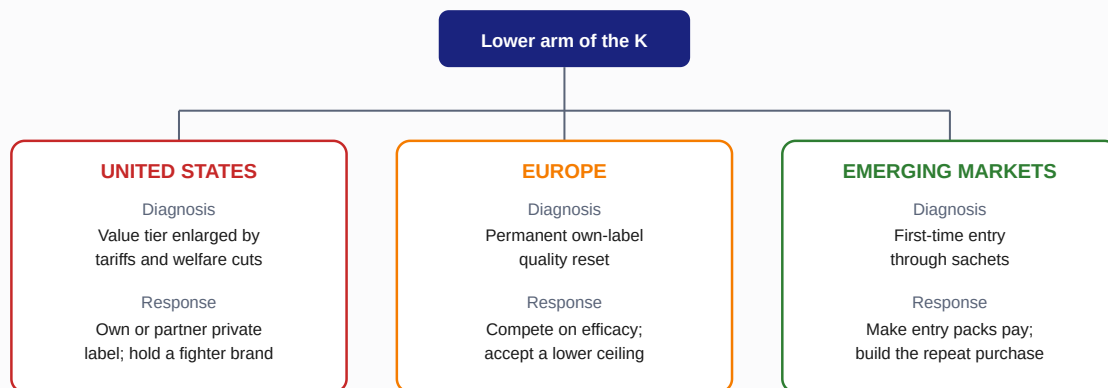
Decision link: Strategic Implications [2](#) and [1](#).

6. The portfolio, pricing and pack architecture that wins each region

LONGER-RANGE

The strategic answer to a K-shaped market is not one global playbook but a portfolio, pricing and pack architecture tuned to each region, because the lower arm has a different cause in each. The common move is to stop funding growth with price and promotion that no longer work and to prune toward fewer, stronger propositions; the divergent move is to build the value tier as private-label defence in the US, as premium-versus-own-label in Europe, and as entry-price packs in emerging markets. This is a multi-year build that should be revisited each cycle as the three regional arms move at different speeds.

One K-shape, three regional pack-and-price playbooks



The lower arm has three causes and three answers; the common move is to prune and repair base value (NielsenIQ Innovation under pressure, January 2026).

- **Price and promotion have stopped buying growth, so the shared move is to prune and repair base value.** One in four Western European units already sells on promotion with diminishing returns ([NielsenIQ on discount fatigue](#), February 2026), innovation units fell 5.8% as launches failed to justify a premium ([NielsenIQ Innovation under pressure](#), January 2026), and pricing is moderating, with Nestle at 2.3% in the first quarter as it reshapes its portfolio ([Nestle three-month sales 2026](#), April 2026).
- **Premiumisation only pays when the added cost-to-serve is managed, because a quality-perceived private label has closed the room for unjustified premiums.** US private-label revenue rose \$64.8 billion, or 30%, between 2021 and 2025, and 70% of consumers now believe private label equals brands ([Oliver Wyman, on PLMA](#), June 2026).
- **Growth is being recruited in emerging markets, which rewards local pack and portfolio design rather than transplanted models.** Mondelez reported 12.1% net revenue growth in Latin America and 14.3% in Asia, Middle East and Africa ([FoodNavigator](#), July 2026), while Unilever concentrates on Power Brands and delists unprofitable tail lines ([Unilever first-quarter trading statement](#), April 2026).

Counter-argument

The plausible objection is that a single global operating model is cheaper to run than three regional architectures, and that fragmenting the portfolio by region sacrifices the scale economies that make large manufacturers competitive in the first place. The counter to the counter is that scale applied to the wrong shape is a cost, not an advantage: a range centred on the vanishing middle spreads investment across the emptiest part of the shelf, while the winners concentrate scale where demand actually sits, at the two ends, and let pack and price differ by region while brands and supply stay global.

Decision link: Strategic Implications [1](#), [2](#) and [3](#).

Strategic Implications

Four decisions turn this cycle's signals into the next operating plan. Each names the move, a horizon and a decision posture.

SI 1: Rebuild the price-pack ladder to span both ends

The Chief Growth Officer should treat the portfolio as a price-pack ladder with deliberate strength at the top and bottom rungs rather than a range centred on the mainstream, because demand and margin have moved to the two ends and the middle is where competition is fiercest. Every mid-tier brand should carry an explicit verdict this planning cycle: migrate up on a provable benefit, migrate down to contest the value tier, or retire and redirect its investment. Holding the middle should be a deliberate choice in habitual categories, not the default that inertia produces.

Action: By the next annual planning round, the Chief Growth Officer maps every mainstream brand to migrate-up, migrate-down or retire, with a two-year execution timetable and reinvestment plan.

DECIDE

Draws on Themes 1, 2 and 6

SI 2: Write a separate value-tier playbook for each region

The Chief Growth Officer and regional leads should stop treating the value tier as one global segment, because its cause differs by region and so must its answer. In the US the value tier is enlarged by policy and should be met by owning or partnering private-label supply and holding a credible fighter brand; in Europe the own-label reset should be accepted as a lower brand ceiling and met by competing on efficacy rather than trying to out-promote retailers; in emerging markets the lower arm is first-time entry and should be met by making sachet-scale packs economic and engineering the second purchase. One playbook for all three loses in all three.

Action: Within two planning cycles, each region publishes a distinct value-tier plan (US private-label posture, Europe efficacy defence, emerging-market entry-pack economics) owned by the regional president.

PREPARE

Draws on Themes 3, 4 and 5

SI 3: Re-anchor every premium claim on efficacy and format, and retire heritage-only lines

The Chief Brand and Marketing Officer should audit the premium portfolio for lines whose price rests on heritage rather than a benefit the shopper can feel, because that is the position dupe culture and a resurgent private label punish first. Where a premium claim can be re-anchored on demonstrable efficacy or a superior format, it should be, with the evidence made visible at the shelf and online; where it cannot, the line should be repriced or retired before the gap is exposed. Premium is safe only where the benefit is real and hard to copy.

Action: The Chief Brand and Marketing Officer completes a premium-claim efficacy audit within two quarters and reprices or retires heritage-only lines that fail it by the next range review.

DECIDE

Draws on Themes 1, 4 and 6

SI 4: Instrument a regional early-warning dashboard

The Chief Financial Officer and strategy function should stand up a single dashboard that tracks the three regional arms on the indicators that would confirm or break this cycle's reading, because the arms move at different speeds and the planning assumptions have explicit falsification points. It should watch US SNAP participation and any tariff change, European own-label share by age cohort, and emerging-market repeat-purchase rates, so a turn in any arm reaches the portfolio decision before the next plan is set rather than after.

Action: The strategy function launches the regional early-warning dashboard within one quarter, reporting the named indicators to the leadership team monthly.

MONITOR

Draws on Themes 2, 3, 4 and 5

Scenario Matrix

Two uncertainties shape the next five to ten years more than any other: whether the bifurcation deepens or reverts (the vertical axis, deepen at the top, revert at the bottom), and whether private label keeps advancing or stalls (the horizontal axis, stalls at the left, advances at the right). The four scenarios below are planning aids, not forecasts.

PRIVATE-LABEL TRAJECTORY: STALLS TO ADVANCES

Two Brand Worlds

The K deepens but manufacturers hold both ends as branded tiers, and private label plateaus because brands invest fast enough in premium efficacy and in credible value fighter brands to keep retailers at bay. The portfolio becomes a barbell of strong branded rungs at top and bottom, with the middle deliberately thinned. Scale is concentrated where demand sits, and the prize goes to manufacturers who move first on both ends. This is the most favourable environment for incumbents willing to cannibalise their own middle.

Early indicators: private-label share flattening; branded fighter brands gaining value-tier units; premium efficacy claims sustaining price gaps.

Retailers Own the Floor

The K deepens and private label keeps advancing, so retailers capture the value floor outright and brands are pushed into a shrinking premium redoubt. Own-label crosses well beyond half of units in more markets, its quality perception hardens, and national brands that failed to secure the value tier early find it closed to them. Manufacturers survive on premium efficacy and on supplying private label they do not own the shelf for. Margin concentrates in a narrow top band, and scale advantages erode as retailers set the terms of the value tier.

Early indicators: own-label share rising well past half of units in more markets; retailer premium own-label ranges expanding; national brands exiting value categories.

The Middle Refills

Real incomes recover strongly, the traded-down return, and the mid-tier partly refills as private label plateaus, so the market drifts back toward a bell curve. Manufacturers that abandoned the middle too aggressively find a competitor has quietly held it and rebuilt volume.

REVERT · PL STALLS promotion regains some power, and the premium efficacy premium narrows as value shoppers trade back up to familiar brands. This is the environment that most rewards patience and punishes over-rotation to the two ends.

Early indicators: mid-tier national brands gaining units for two or more quarters; real-income growth accelerating; promotion lift returning.

Quality-Value Convergence

Incomes recover but the taste for value quality does not fade, so the middle refills as premium private label and value-quality brands rather than as the old mainstream, and everyone competes on quality-per-price. The distinction between brand and own-label blurs,

retailers push **REVERT · PL ADVANCES** manufacturers win only where efficacy is genuinely differentiated or cost-to-serve is genuinely lower. It is a demanding environment in which neither a heritage premium nor a cheap-and-cheerful value play is safe, and the discipline of proving benefit per pound decides share.

Early indicators: premium own-label ranges out-growing standard own-label; brand and private-label price gaps narrowing; efficacy claims becoming table stakes.

What We Are Not Planning For

A near-term return of the mass mid-tier as the primary growth engine

We are not planning for the mainstream middle to reclaim its role as the main source of growth within the planning horizon. The middle is being drained from both ends by forces with multi-year causes, from a policy-enlarged US value tier to a decade-long European own-label reset, and no major market has yet shown the mid-tier regaining share. Building the plan around a middle recovery would misdirect investment toward the emptiest part of the shelf.

Reinstate if: mid-tier national brands gain unit share for two consecutive quarters across both the US and Europe's six largest markets.

A collapse of private label under a national-brand price war

We are not planning for private label to fold under branded price cuts. US national brands have already raised dollars mainly by cutting prices without reversing the private-label unit-share gain, and Europe's own-label growth rests on perceived quality and retailer economics rather than on price alone. A price war compresses everyone's margin and is unlikely to win back shoppers who now see own-label as a legitimate choice.

Reinstate if: national-brand unit share recovers against private label in Europe's six biggest markets for two consecutive quarters.

Emerging-market small-pack demand as pure distress that vanishes on recovery

We are not treating the emerging-market lower arm as distress trading-down that will evaporate when incomes rise. The evidence points to first-time entry and premiumisation from below through sachet-scale packs, with rural buyers taking a rising share of super-premium volume. The planning risk here is under-investment in entry-pack economics, not overexposure to a fragile cohort.

Reinstate if: rural repeat-purchase rates fall materially even as emerging-market incomes and confidence improve.

Discussion Points for the Leadership Team

1. If the middle is genuinely empty rather than merely quiet, which of our mid-tier brands do we migrate up, migrate down or retire, and what is the two-year sequence and cost?
2. In the US, do we own or partner private-label supply and hold a credible fighter brand, or cede the value floor to retailers and concentrate our investment on premium?
3. In Europe, do we accept the own-label reset as a permanently lower brand ceiling and compete on efficacy, or spend to win back traded-down shoppers we may not recover, and what is that spend worth?
4. In emerging markets, do our sachet economics actually build a profitable repeat purchase, or are we subsidising trial that will not convert if the macro tightens, and how would we know in time?
5. If the youngest European shoppers are the first to drift back to brands as own-label matures, are we over-indexing on a reset that may prove to be a one-generation event rather than a permanent ceiling?

Source Confidence Register

This briefing draws on 37 verified sources, gathered under a soft three-month window with April to July 2026 as the primary base (cycle date 9 July 2026, source freeze 17 July 2026), with 8 first-quarter 2026 analyses and one late-2025 read retained as canonical structural anchors and flagged as such; the tier mix is 8 Tier 1, 13 Tier 2 and 16 Tier 3, so a clear majority of sources are Tier 1 or Tier 2.

Source tiers: **Tier 1**, governments, regulators and intergovernmental bodies. **Tier 2**, think-tanks, academic institutes, major consultancies and quality data providers. **Tier 3**, quality journalism and specialist trade press. **Tier 4**, vendor, company and practitioner sources, used only as directional corroboration.

Theme 1: Premium grows on efficacy and format, not heritage

Source	Tier	Date	Key claim used
L'Oréal: First quarter 2026 sales	Tier 1	Apr 2026	L'Oréal Luxe delivered +5.6% adjusted like-for-like growth in Q1 2026, outperforming the selective market across all regions on portfolio breadth and its innovation plan; group +6.7%.
L'Oréal: Chiffre d'affaires du 1er trimestre 2026 (fr)	Tier 1	Apr 2026	French-language primary release confirms L'Oréal Luxe grew +5,6% on an adjusted comparable basis in Q1 2026, outperforming the selective market across all Zones.
Circana: US Beauty Market Delivers Steady First Quarter Growth, Circana Reports	Tier 2	May 2026	US prestige beauty dollar sales grew +6% to \$8.1 billion in Q1 2026 while mass rose +7% to \$18.1 billion; growth was value-driven with prestige gains led by higher-value formats.
NielsenIQ: Beauty in 2026: Global shifts. Local realities. Real growth	Tier 2	Apr 2026	NielsenIQ's 2026 beauty outlook finds shoppers more selective: premium keeps winning on efficacy and experience while accessible brands compete on performance-led value.
Premium Beauty News: U.S. prestige beauty consumers prioritize efficacy and scientific credibility (structural anchor)	Tier 3	Feb 2026	A Kearney Prestige Beauty Consumer Index survey of 1,000 US consumers found 85% rank quality and efficacy above price, reviews or heritage, with loyalty shifting from heritage to proof and value.

Source	Tier	Date	Key claim used
BeautyMatter: US Beauty Market Delivers Steady First-Quarter Growth	Tier 3	May 2026	Reporting Circana's Q1 2026 read, BeautyMatter notes mass and prestige are growing at nearly the same rate for the first time in five years, tempering the premium-only story.
Cosmetics Business: Cosmetics Business reveals the top 5 skin care trends of 2026 in new report (structural anchor)	Tier 3	Mar 2026	Citing Kantar (52 w/e 4 January 2026), UK mass skin care surged +21% while premium skin care rose +7%, a flip from the prior year, as mass brands win with science-backed hero actives.

Theme 2: The middle is being vacated from both ends

Source	Tier	Date	Key claim used
CPG Matters: 'Barbell Pricing' is a Heavy Lift for Brands in a K-Shaped 2026 (structural anchor)	Tier 3	Mar 2026	Frames 2026 US demand as a barbell: the top 20% of households account for nearly 60% of consumer spending (Moody's Analytics), the middle has evaporated, and CPG must serve both ends.
McKinsey & Company: State of the Consumer 2026: When tech acceleration and cost pressures collide	Tier 2	Jun 2026	McKinsey's State of the Consumer 2026 documents a divergence in consumer behaviour: some spend on premium high-value experiences while even those with capacity apply greater scrutiny.
The Motley Fool: Procter & Gamble (PG) third-quarter 2026 Earnings Call Transcript (treat directionally)	Tier 3	Apr 2026	On its FY26 Q3 call P&G describes managing a well-developed vertical portfolio across brand tiers and price points, giving consumers a choice between premium innovation and lower-priced options.
Bain & Company: Growth Under Pressure: Value-seeking Shoppers and New Channel Battlegrounds in China FMCG (China Shopper Report 2026, Vol. 1)	Tier 2	Jun 2026	Bain's China Shopper Report 2026 names value-barbell competition: consumers stretch budgets with mass/value and private label while selectively trading up in narrow premium pockets.

Source	Tier	Date	Key claim used
Retail Insider: second-quarter 2026 Consumer Behavior and Retail Economy: A Market Increasingly Divided	Tier 3	Jul 2026	Retail Insider's Q2 2026 report describes a retail landscape increasingly resembling a K-shaped economy, where value and premium perform relatively well while the middle faces mounting pressure.

Theme 3: The US value tier is expanding by policy, not just trading down

Source	Tier	Date	Key claim used
USDA Economic Research Service: Food Price Outlook - Summary Findings	Tier 1	Jun 2026	USDA ERS forecasts food-at-home (grocery) prices to rise 2.8% in 2026 (interval 1.4 to 4.4 percent), following 2.3% in 2025, at or above the 2.6% per-year historical average.
International Monetary Fund (IMF): World Economic Outlook, April 2026: Global Economy in the Shadow of War (Chapter 1)	Tier 1	Apr 2026	The IMF WEO (April 2026) projects US GDP growth of 2.3% in 2026, supported by fiscal policy and lagged 2025 rate cuts, even as trade barriers since April 2025 weigh on activity.
Circana: Circana Research Reveals U.S. Private Label CPG Sales Reach \$330 Billion (structural anchor)	Tier 2	Mar 2026	Circana reports US private label CPG sales reached \$330 billion, capturing a 24% unit share and 23% dollar share of the total market.
Center on Budget and Policy Priorities (CBPP): Families Across U.S. Feeling Pain as Anniversary of 2025 Republican Reconciliation Law Approaches	Tier 2	Jun 2026	Between the July 2025 reconciliation law's enactment and March 2026, SNAP participation fell by more than 4 million people (10%), dropping in every state, with about 808,000 fewer children on SNAP in 13 reporting states.
The Budget Lab at Yale: State of U.S. Tariffs: April 8, 2026	Tier 2	Apr 2026	The Budget Lab finds 2026 tariffs are a regressive tax whose burden as a share of post-tax-and-transfer income falls about three times as hard on the bottom income decile as the top (1.1% versus 0.4%).

Source	Tier	Date	Key claim used
FoodNavigator: Food Inflation Could Surge Again in 2026 (treat directionally)	Tier 3	May 2026	Food economist Richard Volpe warns tariffs and input-cost pressure could push US grocery price inflation to roughly 4% to 4.5% by year-end 2026, above the 2.6% 20-year average.
BakeryandSnacks: Private label widens lead over national brands in 2026 grocery unit sales	Tier 3	Jul 2026	Citing Circana/PLMA data, US store brands reached a record 23.8% unit market share in H1 2026 as private-label units rose while national-brand units fell; store-brand dollar sales were flat while national brands rose 2.2% on price cuts.

Theme 4: Europe's own-label quality perception has reset for good

Source	Tier	Date	Key claim used
Circana: Private Label Reaches Record 50% Unit Share Across Europe's Six Biggest Grocery Markets	Tier 2	Apr 2026	Private label reached a record 50% unit share across Europe's six biggest grocery markets (France, Germany, Italy, Netherlands, Spain, UK) for the first time, rising every year since 2021, led by Spain at 59% and Netherlands at 56%.
ESM - European Supermarket Magazine: 8 Trends Driving European Grocery Retail In 2026	Tier 3	Apr 2026	Per McKinsey's State of Grocery Retail Europe 2026, private labels reached a 40% value share across the EU-11 in 2025 driven by volume and higher quality; across 120 European grocers, private-label share and perceived quality were the biggest drivers of market-share gains, more than price.
LSA Conso: Marques de distributeurs : pourquoi la France reste en retard malgre une progression record (fr) (structural anchor)	Tier 3	Mar 2026	Per NielsenIQ, own label (MDD) reached 45.5% volume share in France in 2025; NielsenIQ frames MDD as no longer a crisis arbitrage but a structural pillar of food retail, though under-35s' MDD purchases fell 3.1%.

Source	Tier	Date	Key claim used
Lebensmittelpraxis: Handelsmarken-Boom - Eigenmarken erobern fast die Haelfte des deutschen Lebensmittelmarkts (de)	Tier 3	Jun 2026	Per YouGov data (evaluated by dpa), German retailer own brands reached a record 47% market share in 2025, up from 41% in 2021; both revenue and volume rose while manufacturer brands grew revenue only via higher prices as volumes fell.
INSEE: Au premier trimestre 2026, le pouvoir d'achat des menages se stabilise - Informations rapides n133 (fr)	Tier 1	May 2026	Per INSEE's Q1 2026 national accounts, French households' purchasing power of gross disposable income stabilised in Q1 2026 after +0.3% the prior quarter, and the saving rate edged up to 17.9%, i.e. incomes broadly stable rather than falling.
DairyReporter: Private label hits 50% share despite heavy brand promotions (treat directionally)	Tier 3	Jun 2026	Reporting Circana data, retailers invested in own-label quality, innovation and premium ranges long before the cost-of-living crisis; consumers who once saw private label as a compromise now see it as a legitimate alternative and question whether brands justify their premium.

Theme 5: Emerging-market entry is sachet-led, and it is not distress

Source	Tier	Date	Key claim used
IMF: World Economic Outlook, April 2026: Global Economy in the Shadow of War	Tier 1	Apr 2026	The IMF's April 2026 WEO projects global growth to slow to 3.1% in 2026, and warns the slowdown in growth and rise in inflation are expected to be particularly pronounced in emerging market and developing economies.
NielsenIQ: India FMCG Quarterly Snapshot: first-quarter 2026	Tier 2	May 2026	NIQ's Q1 2026 India snapshot flags shifting demand patterns, a rural-urban divergence around affordability stress and demand polarisation, and the pull of small low-unit-price packs.

Source	Tier	Date	Key claim used
MediaBrief (Worldpanel by Kantar): Worldpanel India: Premium brands make up 15% of FMCG volumes; rural India accounts for 42% of super-premium consumption (structural anchor)	Tier 2	Sep 2025	Worldpanel India finds premium brands make up 15% of FMCG volumes and rural India's share of super-premium consumption rose from 30% in 2021 to 42% in 2025, with small affordable pack formats driving penetration and trial.
Business Standard: Nestle India sees strong growth opportunity in rural markets: CMD (treat directionally)	Tier 3	Jul 2026	Nestle India's CMD told the 67th AGM that future growth will come from deeper household penetration and wider distribution, especially rural markets where aspirations are rising and the next wave of long-term consumption is being shaped.
ScanX: HUL Q4 FY26 Earnings Call: 8% Revenue Growth Marks Highest Quarterly Performance in 12 Quarters (treat directionally)	Tier 3	May 2026	Hindustan Unilever posted its highest quarterly growth in 12 quarters for the quarter ended 31 March 2026, with 8% consolidated revenue growth driven by 6% underlying volume growth and an EBITDA margin of 23.7%.
Business Standard: FMCG firms optimistic on demand, expect easing input costs to aid margins (treat directionally)	Tier 3	Jul 2026	In early-July 2026 demand commentary, Dabur said domestic demand trends remain encouraging with both rural and urban markets sustaining momentum while rural continues to outperform urban centres.

Theme 6: The portfolio, pricing and pack architecture that wins each region

Source	Tier	Date	Key claim used
NielsenIQ: Innovation under pressure (structural anchor)	Tier 2	Jan 2026	Western Europe FMCG value grew +3.4% in 2025 driven almost entirely by price while innovation sales fell in units (-5.8% for innovations), signalling too many launches fail to justify a premium; the prescription is fewer, stronger propositions.

Source	Tier	Date	Key claim used
NielsenIQ: Discount Fatigue in West Europe is real, and it's reshaping FMCG Growth (structural anchor)	Tier 2	Feb 2026	One in four FMCG units in Western Europe is now sold on promotion; promo intensity has risen but unit growth has slowed sharply, so promotions now support demand rather than stimulate it.
Unilever: Strong volume growth; full year outlook reconfirmed	Tier 1	Apr 2026	Unilever Q1 2026 underlying sales growth of 3.8% (volume 2.9%), with Power Brands leading; the company is concentrating its portfolio by delisting unprofitable US hair care brands and scaling premium ranges.
Nestlé: Three-month sales 2026: continued growth momentum	Tier 1	Apr 2026	Nestlé Q1 2026 organic growth was 3.5% (RIG 1.2%, pricing 2.3%), with pricing moderating versus 2025 as targeted actions annualise, alongside active portfolio reshaping and divestitures.
Oliver Wyman: How CPG companies can manage the costs of a premium strategy	Tier 2	Jun 2026	US private label revenue rose \$64.8 billion (30%) between 2021 and 2025 and 70% of consumers now believe private-label products are of equal quality to brands, so premiumisation must be paired with disciplined cost-to-serve management.
FoodNavigator: Why is Big Food booming in emerging markets?	Tier 3	Jul 2026	FMCG growth has relocated to emerging markets: Mondelez reported 12.1% net revenue growth in Latin America and 14.3% in Asia, Middle East and Africa versus 0.5% in North America, aided by rising incomes and far lower private-label competition.

Claim-Fidelity Appendix: Analyst inferences and editorial framing

This appendix records every claim that goes beyond what a cited source literally states.

Cycle-over-cycle continuity claims

This is the inaugural cycle for this prospect example; the 9 July 2026 cycle date is also the publication date. There is no prior cycle to reconcile against, and future cycles will report what has materially changed since this baseline. The cycle framing, "The Barbell Is the Business Now", is an editorial characterisation of the K-shaped bifurcation and is the analyst's, not any single source's.

Superlatives used

Four superlatives are analyst characterisations rather than source quotes and should be read as interpretive: "the most exposed position on the shelf" (applied to heritage-only premium), "the single most expensive mistake available" (applied to defending the mainstream), "the most consequential European shift in a generation" (applied to the own-label reset), and "the fastest-growing volume of the decade" (applied to emerging-market entry). Two superlatives are sourced: Hindustan Unilever's "highest quarterly growth in 12 quarters" is the company's own characterisation ([Hindustan Unilever Q4 FY26 call](#), May 2026), and "the middle has evaporated" is quoted from the barbell analysis ([CPG Matters](#), on [Moody's Analytics](#), March 2026).

Analytical synthesis claims

Three readings are the analyst's synthesis across multiple sources rather than any single source's claim, and are marked as such in the body. (1) The organising thesis that the lower arm of the K is "three regional stories with different causes" reads across the US policy sources, the European own-label sources and the Indian sources; no single source frames all three together. (2) The pull-quote, "the middle is not slow, it is empty, and the manufacturers who will win the next decade are already building for both ends of the shelf", is the analyst's editorial paraphrase of the cycle's thesis and appears in no source. (3) The Scenario Matrix, the three-region pack-and-price diagram and the Futures Wheel in the contents panel are analyst constructions; the Futures Wheel's consequence tree is a foresight projection built from this cycle's themes and their logical second-order effects, not a claim made by any source, and the figure SVGs are analyst-built from the cited numbers rather than reproduced from any source chart.